

MASENO 2025 KCSE PREDICTION



CONFIDENTIAL EXAM

565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS



NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTION TO CANDIDATES

- a) Write your name and stream in the space provided above.*
- b) This paper consists of six questions*
- c) Answer any **five** questions of your choice in the spaces provided.*
- d) All questions carry equal marks*
- e) Students should answer the questions in English.*

For Examiner's Use Only

Question	Maximum Score	Candidate's Score
1	20	
2	20	
3	20	
4	20	
5	20	
6	20	

Total	
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1. a) Kenya experiences frequent increase in prices of essential goods and services.
Explain **five** factors that causes the above trend. **(10 marks)**
- b) Highlight **five** benefits of turning a private limited company into public limited company **(10 marks)**
2. a) Explain **five** measures that the government may put in place to reduce the amount of money in circulation **(10 marks)**
- b) Explain **five** features of economic resources. **(10 marks)**
3. a) Explain **five** benefits that may accrue to a community involved in home trade **(10 marks)**
- b) The following balances were extracted from books pf Victoria's traders for the year end 31/12/2021

SHS

Rent	48,000
Lighting	7,200
Water	9,220
Salaries	75,000
Commission received	12,370
Discount allowed	4,600
Discount received	8,500
Gross profit	320,000
General expenses	98,000
Stock	25,250
Motor vehicle	2,300,000
Furniture	650,000
Debtors	270,000
Creditors	396,400
Bank	200,000
Cash	50,000
Capital	3,000,000

prepare;

- (i) profit and loss account for the year end 31/12/2021 **(5½ marks)**
- (ii) balance sheet as at 31/12/2021 **(4½ marks)**

4. a) Explain **five** circumstances under which an insurer may not compensate the insured after the occurrence of the risk **(10marks)**

b) Explain **five** merits of direct taxes **(10 marks)**

5. a) Highlight **five** sales promotional methods which may be used by traders to increase sales volume of their products **(10 marks)**

b) The following transactions relates to Kajembe traders for the month of May 2023.

May 1: Balance brought down cash shs.16,500 and Bank shs.19,847

May 2: Sold goods worth shs.1,348 to Paul and received a radio in exchange.

May 5: Paid transport by cheque shs.2,000

May 6: Issued a cheque to Sakwa traders settling an invoice for shs.10,000 deducting 2% cash discount.

May 10: Transfer shs.15,000 from cash till to bank.

May 12: Sold goods for cash shs.12,000 less 2% cash discount.

May 13: Sold goods to Onyango on credit worth shs.15,000

May 14: The owner of the business withdrew shs.3,000 in cash to buy a present for the daughter.

May 16: Received a cheque from Kuria shs.2,500 less 5% cash discount.

May 22: Bought furniture from Wako traders in credit worth shs.16,500 and cash discount of 10% if payment is made within 2 weeks.

May 24: Withdrew cash from bank for office use shs.8,000

May 26: The owner brought into the business shs.9,000 cash.

May 27: Issued a cheque to Wako traders for amount due.

May 28: Sold goods to Kuria worth shs.5,000 for shs.3,800 and received a cheque.

May 30: Banked all cash and remained with shs.1000 in the cash till.

Required: Prepare Kajembe Traders three column cash book for the month of may 2023. **(10 marks)**

6. a) Highlight **five** factors that may negatively affect the demand for a product in the market. **(10 marks)**

b) Discuss **five** reasons why less developed countries are reluctant in implementing free trade agreement. **(10 marks)**

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